



GROSS DOMESTIC PRODUCT

$$GDP = C + I + NX + G$$

X - M
export - import

PART A

Answer the questions below regarding **GROSS DOMESTIC PRODUCT**.

Define **GROSS DOMESTIC PRODUCT**.

The dollar value of all final goods and services produced within a country's borders in one year.

In what **THREE WAYS** do countries use GDP information?

1. It is compared to other countries.
2. It is compared to policy changes.
3. It is compared to previous years.

Define the two methods of calculating gross domestic product:

EXPENDITURES APPROACH:

The sum of aggregate spending on all final goods and services within a country's borders in one year.

INCOME APPROACH:

The sum of aggregate income earned on all inputs used in the product market to make goods and services in one year.

What are the **FOUR COMPONENTS INCLUDED** in gross domestic product?

1. Consumer spending
2. Investment spending (by firms)
3. Government spending
4. Net Exports (Exports - Imports)

What is **NOT INCLUDED** in gross domestic product?

Intermediate goods, non-production transactions (financial investments and used goods), and illegal or non-market activities.

Unlike gross domestic product (GDP), the **GROSS NATIONAL PRODUCT (GNP)** includes:

The value of goods and services produced overseas in foreign nations by domestic firms.

$$GDP = C + I + NX + G$$

X
export

- M
import

IDENTIFYING

GROSS DOMESTIC PRODUCT

PART B

Determine whether each of the following is **INCLUDED** or **NOT INCLUDED** in the United States GDP. **CIRCLE** your answers and then **EXPLAIN**.

REMEMBER!

C I G X_N

1. You purchase a new Ford F150 pickup truck for \$40,000.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

It is consumer spending within the United States, and the good is new.

2. The government purchases \$50 billion of new military equipment and weapons.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

It is government spending on goods, and it is in the current year.

3. A consumer liquidates a mutual fund and purchases a used house.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

The house is a used good and produced in a previous year.

4. Mexican consumers purchase \$150 million worth of Apple iPads and iPhones.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

The goods are American exports purchased by foreign consumers.

5. McDonalds builds 500 new restaurants throughout the United States.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

It is investment spending by an American firm within the United States this year.

6. A financial advisor earns \$150,000 for services provided to his clients.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

It is consumer spending for services rendered/It is income earned by the advisor.

7. The Gap opens up 70 new stores throughout Europe.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

The spending took place overseas and the stores are in foreign countries.

8. Costco restocks its inventories with \$35 million worth of goods for summer.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

It is investment spending by an American firm within the United States this year.

9. American consumers purchase \$15 billion of vegetables from Mexico.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

The goods are imports from Mexico purchased by US consumers, counting as a negative.

10. The government issues \$1 trillion to Social Security recipients.

INCLUDED or **NOT INCLUDED** ? **EXPLAIN:**

This is a non-production transaction, as no goods are being purchased by government.

$$GDP = C + I + NX + G$$

X
export

- M
import

calculating

GROSS DOMESTIC PRODUCT

PART C

First, **CALCULATE THE GDP** for each year provided. Then, calculate the **% CHANGE IN GDP** between each year.

COUNTRY X GDP DATA - 2015

	Corn	Paper	Steel	Wheat
PRICE	\$2	\$1	\$6	\$2
QUANTITY	10,000	50,000	30,000	25,000
TOTAL	\$20,000	\$50,000	\$180,000	\$50,000

COUNTRY X GDP DATA - 2016

	Corn	Paper	Steel	Wheat
PRICE	\$3	\$2	\$5	\$2
QUANTITY	10,000	40,000	30,000	50,000
TOTAL	\$30,000	\$80,000	\$150,000	\$100,000

2015 GDP \$300,000 2016 GDP \$360,000

COUNTRY Y GDP DATA - 2015

	Salt	Cotton	Copper	Sugar
PRICE	\$5	\$10	\$20	\$2
QUANTITY	20,000	40,000	20,000	50,000
TOTAL	\$100,000	\$400,000	\$400,000	\$100,000

COUNTRY Y GDP DATA - 2016

	Salt	Cotton	Copper	Sugar
PRICE	\$4	\$10	\$15	\$2
QUANTITY	20,000	30,000	30,000	35,000
TOTAL	\$80,000	\$300,000	\$450,000	\$70,000

2015 GDP \$1,000,000 2016 GDP \$900,000

REMEMBER!

$$\% \text{ change in GDP} = \frac{GDP \ Y2 - GDP \ Y1}{GDP \ Y1}$$

What was the % change in GDP for Country X between 2015 and 2016?

+20%

What was the % change in GDP for Country Y between 2015 and 2016?

-10%